

source (TDS) on several transactions, not only on salary, interest income and rent but also on windfalls such as winnings from online games, betting, lottery and crossword puzzles.

Officials and experts say the aim is not just revenue generation but monitoring of transactions. They look at various expenditure by taxpayers to understand if they are in sync with reported earnings and income tax returns. After all, most such provisions fetch less than ₹1,000 crore in revenue per year. The TCS on ultra luxury goods, for example, is expected to bring in just ₹200-250 crore in a fiscal year.

The trend towards the formalisation of the economy and the rapid pace of economic expansion have increased incomes and, as a result, high-value purchases. At the same time, the informal economy, still 45-50% of the GDP, and the high use of cash have led to concerns about under-reporting of income. Despite a population of 1.4 billion, a little over 90 million people in India filed income tax returns in 2024-25. In December 2024, Minister of State for Finance Pankaj Chaudhary informed the Rajya Sabha that just 6.68% (eight million) Indians filed income tax returns in FY24.

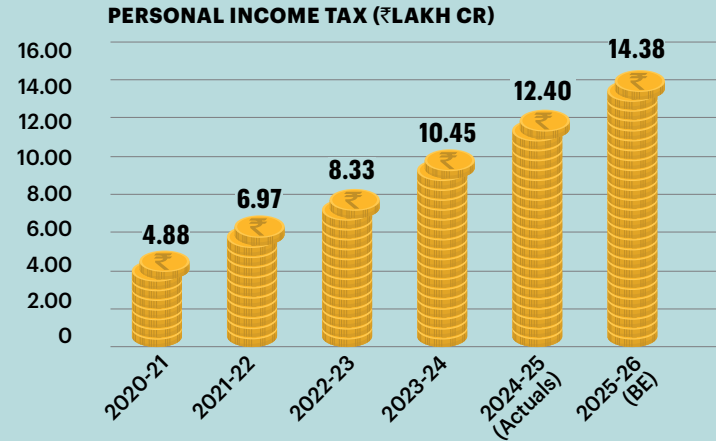
No wonder the government is taking steps to boost tax compliance and collections. In fact, the CBDT has been priding itself for shifting from aggressive to more taxpayer-friendly methods that are non-intrusive and, by and large, do not involve a direct face-off with taxpayers. CBDT Chairman Ravi Agrawal has also highlighted that the department has moved from being an adversarial entity to one that operates more on trust.

THE RISE OF BIG DATA

While India Inc has been going to town about its use of big data and data analytics, the income tax department has, over the years, quietly set up a massive database with comprehensive information on

RIISING DIRECT TAX COLLECTIONS

- The income tax department says the use of non-intrusive measures is one of the reasons for the rise in personal income tax collections

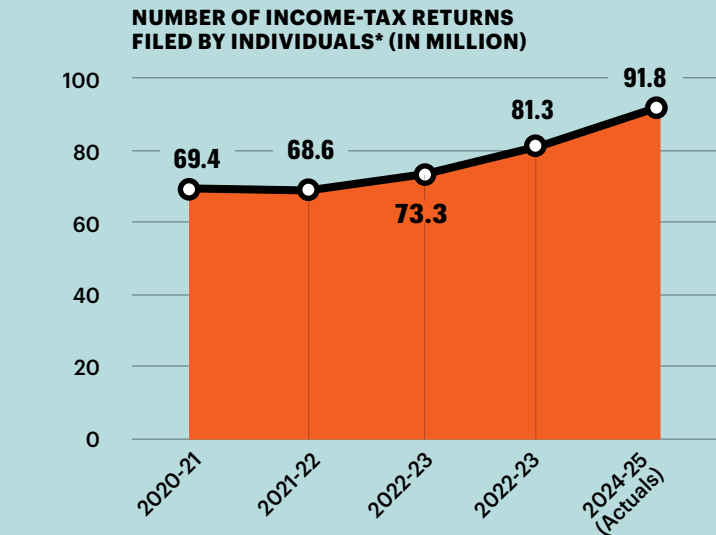


SOURCE BUDGET, INCOME TAX DATA

NOTE BE IS BUDGET ESTIMATES

RIISING RETURNS

- Sharp rise in income tax returns over the years as compliance improves
- Over 90 million income tax returns filed in FY25



SOURCE INCOME TAX DATA

NOTE * INCLUDING REVISED RETURNS